UNIVERSITY OF GLOBAL VILLAGE (UGV), BARISHAL

Department of Business Administration

Course Title:	Accounting	**Course Code:**	ACN 0411-2201
Chapter:	Chapter Six — Trial Balance	**Instructor:**	Lima Akter Antora, Lecturer
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Part 1: Theoretical Assignment Questions

1. Detect and describe the errors and mistakes which may not be disclosed even if the trial balance agrees.

When the debit and credit totals of a trial balance agree, arithmetical accuracy in the ledger is generally assumed. However, certain mistakes do not affect the equality of the debit and credit columns and remain undisclosed by a trial balance. These undetected mistakes are classified into two major categories: **Clerical Errors** and **Errors of Principle**.

- **(1) Clerical Errors:**
  - **(a) Errors of Omission:** If a transaction is not recorded at all in the primary books of accounts or is never transferred from the journal to the ledger, both the debit and credit columns of the trial balance will be lower by an equal sum and will still agree. *Example:* Goods sold to Shimanto are omitted completely from the sales book.
  - **(b) Errors of Commission:** If a transaction is recorded in the primary books of accounts with a lower or higher amount of money, that same incorrect figure is posted to both the debit and credit ledger accounts, so the trial balance still agrees. *Example:* Goods sold to Ratan for Tk. 5,000 are recorded as Tk. 50,000, overstating both Ratan A/C and Sales A/C by Tk. 45,000.
  - **(c) Errors of Misposting:** Caused by employee carelessness when a transaction is posted to the wrong account on the correct side. *Example:* Tk. 20,000 received in cash from Kalam is properly debited in the cash book, but credited to Salam A/C instead of Kalam A/C in the ledger. The total of credits remains unchanged, so the trial balance agrees.
  - **(d) Compensating Errors:** Occurs when one mistake is neutralized or offset by another mistake of an equal amount on the opposite side. *Example:* Shiab A/C is debited with Tk. 500 instead of Tk. 5,000, and on another occasion, Jamil A/C is credited with Tk. 500 instead of Tk. 5,000. Both sides of the trial balance are understated by Tk. 4,500, so the totals agree.
- **(2) Errors of Principle:** Errors committed due to a lack of proper accounting knowledge or by violating recognized accounting principles, such as recording a capital expenditure as a revenue expenditure or vice versa. *Example:* Wages paid for the installation of machinery are debited to the Wages Account (Nominal Account) instead of the Machinery Account (Real Account). Since both are debit balances, the trial balance still agrees.

2. How the disagreement of both the sides of trial balance can be solved?

Where the totals of both sides of a trial balance do not agree, finding out the underlying errors is necessary. Disagreement between the debit and credit sides is solved in two stages:

- **Temporary Solution (Opening a Suspense Account):** In most cases, detecting and rectifying errors takes a long time, and it is neither rational nor feasible to keep the preparation of Final Accounts pending. Under this circumstance, the disagreement of both sides of the trial balance is made equal temporarily through a **Suspense Account**. If the credit side total is less than the debit side total, the Suspense Account is shown on the credit side, and vice versa.
- **Permanent Solution (Detection and Rectification of Errors):** A Suspense Account is only a temporary arrangement. Afterwards, the books are audited to locate the specific one-sided mistakes (such as partial omissions, posting to the wrong side of an account, errors in ledger balancing, or totaling mistakes). Once the errors are detected, the Suspense Account is closed through the correction of those errors.

3. "Even if the trial balance agrees, we cannot be certain that there is no mistake in accounts" – do you agree? Elucidate your comments.

> **Position:** Yes, I completely agree with the statement. Agreement of a trial balance does not cent percent ensure the error-freeness of accounts; it only confirms the arithmetical equality of total debits and total credits extracted from the ledger.

Elucidation of Comments:

1. **Complete Omission of Transactions:** If an entire transaction is left unrecorded in the journal or unposted to the ledger (Error of Omission), neither the debit nor the credit side is affected, leaving the trial balance in agreement despite incomplete records.
2. **Incorrect Original Figures:** Recording a wrong amount in the primary book of entry (Error of Commission, such as recording Tk. 50,000 instead of Tk. 5,000) transfers the identical error to both debit and credit ledgers equally.
3. **Posting to the Wrong Account:** Crediting or debiting a wrong personal account on the correct side (Error of Misposting, such as crediting Salam instead of Kalam) distorts individual ledger balances without altering the trial balance column totals.
4. **Mutual Offsetting of Mistakes:** Two separate errors of equal amount on opposite sides (Compensating Errors, such as under-debiting Shiab A/C and under-crediting Jamil A/C by Tk. 4,500 each) cancel each other out in the aggregate totals.
5. **Violation of Accounting Principles:** Treating capital expenditure as revenue expenditure or vice versa (Error of Principle, such as debiting Wages A/C instead of Machinery A/C for installation wages) keeps the entry on the debit side so the trial balance agrees, even though the Statement of Comprehensive Income and Statement of Financial Position will be inaccurate.

Part 2: Solutions to Practical Trial Balance Examples

Example 1: Trial Balance of Mr. Mamun

Mr. Mamun
Trial Balance as on 31 March / 31 December 2025

SL. No	Name of Accounts	L.F.	Debit Taka	Credit Taka
1	Cash		1,19,000	
2	Capital			1,00,000
3	Sales			60,000
4	Sundry Debtors		9,000	
5	Purchase		20,000	
6	Salary Expense		3,000	
7	House Rent Expense		7,000	
8	Wages Expense		2,000	
		Total	**1,60,000**	**1,60,000**

Example 2: Trial Balance of Mrs. Mukta Traders

Note: Opening Cash at Bank (1.1.25) is excluded because opening cash and bank balances remain adjusted with closing balances. In the middle column of the question table (9 account names and 10 numbers), if Bills Receivable is Tk. 1,470 (with Opening Bank = Tk. 19,400 and Tk. 6,700 unlabelled), both sides agree directly at Tk. 1,62,520. If Bills Receivable is read as Tk. 6,700 (ignoring the duplicate 1,470), Debit becomes Tk. 1,67,750 and Credit Suspense is Tk. 5,230.

Mrs. Mukta Traders
Trial Balance as on 31 December 2025

SL. No	Name of Accounts	L.F.	Debit Taka	Credit Taka
1	Capital			60,000
2	Stock (1.1.25)		16,400	
3	Sales			81,200
4	Gas & Water		840	
5	Land & Building		20,000	
6	Wages Expense		18,490	
7	Debtors		35,800	

SL. No	Name of Accounts	L.F.	Debit Taka	Credit Taka
8	Commission		1,470	
9	Equipment		10,270	
10	Transportation		3,370	
11	Drawings		2,480	
12	Business Expense		990	
13	Cash in Hand		800	
14	Cash at Bank		5,260	
15	Purchase		32,160	
16	Tax & Rates		840	
17	Furniture		1,250	
18	Bills Receivable		1,470	
19	Depreciation		1,410	
20	Rent Received			430
21	Salary Expense		4,300	
22	Insurance Premium		1,060	
23	Return Inward		490	
24	Bills Payable			4,000
25	Creditors			10,370
26	Returns Outward			6,400
27	Bank Charge		3,370	
28	Discount Received			120
		Total	**1,62,520**	**1,62,520**

Example 3: Corrected Trial Balance of Mahbuba Traders

Note: Closing Stock (Tk. 35,000) is excluded from the Trial Balance because Opening Stock (Tk. 50,000) is already included. The credit shortage of Tk. 32,800 is balanced via the Suspense Account.

Mahbuba Traders
Corrected Trial Balance as on 31 December 2025

SL. No	Name of Accounts	L.F.	Debit Taka	Credit Taka
1	Opening Stocks		50,000	
2	Capital			1,00,000
3	Purchase		80,000	
4	Sales			80,000
5	Commission Received			10,000
6	Salaries Expenses		20,000	
7	Rent Expenses		3,000	
8	Bad Debt		5,800	
9	Machinery		1,00,000	
10	Debtors		12,000	
11	Creditors			40,000
12	6% Mortgage Loan			10,000
13	Sales Return		2,000	
14	Suspense Account (Balancing Figure)			32,800
		Total	**2,72,800**	**2,72,800**

Example 4: Shihab and Brothers

Requirement (A): Items not recorded in the Trial Balance of Shihab and Brothers:

SL. No	Particulars / Name of Unrecorded Items	Amount (Taka)
1	Cash in hand (01/01/25) — Opening cash balance	15,000
2	Closing Stock — Excluded as Opening Stock is included	12,000
	Total Amount Not Recorded in Trial Balance	**27,000**

Requirement (B): Trial Balance of Shihab and Brothers:

Shihab and Brothers
Trial Balance as on 31 December 2025

SL. No	Name of Accounts	L.F.	Debit Taka	Credit Taka
1	Capital			80,000
2	Debtors		25,000	
3	Creditors			15,000
4	Drawings		10,000	
5	Purchase		30,000	
6	Sales			45,000
7	Interest on Investment			3,000
8	Insurance Premium		5,000	
9	Import Duty		3,500	
10	Commission Received			2,000
11	Investment		30,000	
12	Interest on Bank Deposit			500
13	Furniture		40,000	
14	Advertisement		1,000	
15	Opening Stock		25,000	
16	Closing Bank Balance		6,000	
17	Suspense Account (Credit Shortage)			30,000
		Total	**1,75,500**	**1,75,500**

Example 5: Mr. Jasid

Requirement (A): Balances not recorded in the Trial Balance of Mr. Jasid:

SL. No	Particulars / Name of Unrecorded Balances	Amount (Taka)
1	Cash in hand (1-1-2025) — Opening Cash in Hand	6,000
2	Stocks (31-12-2025) — Closing Stock in Trade	35,000
	Total Amount Not Recorded in Trial Balance	**41,000**

Requirement (B): Trial Balance of Mr. Jasid:

Mr. Jasid
Trial Balance as on 31 December 2025

SL. No	Name of Accounts	L.F.	Debit Taka	Credit Taka
1	Capital			1,50,000
2	Drawings		50,000	
3	Bills Receivable		30,000	
4	Bills Payable			25,000
5	General Reserve			5,000
6	Stocks (1-1-2025)		40,000	
7	Bad Debt		5,000	
8	Provision for Bad Debt			3,000
9	Building		45,000	
10	Debtors		30,000	
11	Creditors			25,000
12	Salaries		5,000	
13	Apprentice Premium (Prepaid / Unearned Income)			3,000
14	Bank Overdraft			2,000
15	Cash in hand (31-12-2025)		10,000	
16	Insurance		8,000	
17	Suspense Account (Credit Shortage)			10,000
		Total	**2,23,000**	**2,23,000**

Requirement (C): Determination of Current Assets and Short-Term Liabilities of Mr. Jasid:

Current Assets	Taka	Short-Term Liabilities	Taka
Bills Receivable	30,000	Bills Payable	25,000
Debtors	30,000	Creditors	25,000
Cash in hand (31-12-2025)	10,000	Apprentice Premium (Unearned)	3,000
Closing Stocks (31-12-2025)	35,000	Bank Overdraft	2,000
Total Current Assets	**1,05,000**	**Total Short-Term Liabilities**	**55,000**

Example 6: Corrected Trial Balance of Mrs. Saleh and Co.

Note: In the slide's original table, 14 account names are paired with 13 amounts across the Debit and Credit columns. The table below places each balance on its correct accounting side; if your instructor pairs Building with Tk. 55,000 (Dr), Bills Payable with Tk. 45,000 (Cr), Loan with Tk. 10,000 (Cr), Capital with Tk. 67,000 (Cr), and Discount Allowed with Tk. 5,000 (Dr), Total Credits equal Tk. 3,02,000 and Total Debits before Suspense equal Tk. 2,58,000 (Suspense Account = Tk. 44,000 Dr).

Mrs. Saleh and Co.
Corrected Trial Balance

SL. No	Name of Accounts	L.F.	Debit Taka	Credit Taka
1	Opening Stocks		34,000	
2	Purchase		1,00,000	
3	Salaries		12,000	
4	Creditors			40,000
5	Debtors		16,000	
6	Bank Balance		20,000	
7	Return Inward		3,000	
8	Carriage Outward		5,000	
9	Bills Payable			55,000
10	Loan			45,000
11	Building		67,000	
12	Discount Allowed		13,000	
13	Capital			10,000
14	Sales			1,40,000
15	Suspense Account (Debit Shortage)		20,000	
		Total	**2,90,000**	**2,90,000**